

BIDDING DOCUMENT

Procurement of JET-A1 Fuel at PIA London Station

(Single Stage Single Envelop Procedure)

BIDDING PROCEDURE & REQUIREMENTS

Section 1: INVITATION TO BIDS

Section 2: INSTRUCTIONS TO BIDDERS

This Section provides information to help Bidders prepare their Bids. Information is also provided on the submission, opening, and evaluation of Bids and on the award of Contracts.

Section 3: ELIGIBILITY & MANDATORY REQUIREMENTS

Section 4: DRAFT CONTRACT AGREEMENT

Section 5: INTEGRITY PACT

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SECTION 1: INVITATION TO BIDS

Tender No. GMCM/FUEL/JET-A1/LHR/07/2026

Date: 01-07-2026

Procurement of JET-A1 Fuel at PIA London Station

1. The *Pakistan International Airlines Corporation limited* now invites sealed bids from eligible Suppliers/vendors for Procurement of JET-A1 Fuel at LHR Station.
2. The bidding shall be conducted in line with the Single Stage Single Envelope procedure.
3. Bids can be submitted on or before **1030 Hrs 22-07-2026 (Pakistan Standard Time)**
4. Bids will be opened at **1100 Hrs dated 22-07-2026 (Pakistan Standard Time)**

SECTION 2: INSTRUCTIONS TO BIDDERS

1. All bids must be accompanied by a Bid Security [**Only for local bidders**] in an acceptable form in the amount of [PKR 300,000].

OR

All INTERNATIONAL bids must be accompanied by a **Bid Securing Declaration Form** in the format provided in the Bidding Documents.

2. All bidders **must submit Password protected bids** to the email address mentioned below at or before **closing date and time** with following documents:

dgmpm@piac.aero

- The Tender TORs.
 - Tender Fee: Banker's Cheque of **PKR 15,000/-** (Non-Refundable) **for local bidders only**.
 - Banker's Cheque (from any scheduled bank of Pakistan) of **PKR 300,000** (One Hundred Thousand Only) as Earnest Money (Refundable/Interest Free) from Local bidders (Foreign Bidders exempted).
3. The bids will be opened in public and in the presence of bidders' representatives who choose to attend in the opening at the Tender Room, Ground Floor, Supply chain Management Department Building, PIACL Head-office Karachi Pakistan on mentioned or communicated date and time.
 4. Bidding Document/Tender TORs can also be accessed on following link:

<https://www.piac.com.pk/corporate/business-with-pia/tenders>

5. **Bid Security (Local bidder only)**

The successful bidder(s) upon award of Contract will be required to furnish Performance Guarantee in the amount equivalent to 5 % of total base value of the contract as interest free Security deposit in shape of Pay Order/Bank Guarantee.

SECTION 3 SCOPE, ELIGIBILITY & MANDATORY REQUIREMENTS

1. **Product.**

Aviation Jet A-1 fuel conforming specifications given below.

2. **Product specification.**

Aviation Jet A-1 fuel confirming requirements of DEF-STAN 91-91, AFQRJOS, ASTM D-1655 latest issues, and IATA Guidance Material for Jet A-1.

3. **Delivery Schedule.**

S.No	Locations	Estimated Uplift till 30th June 2027 (USG)
1	London (LHR/EGLL)	700,000

Note: These quantities are estimates and subject to operational changes.

4. **CONTRACT PERIOD**

Normal contract will be entered into for the period of eleven calendar months commencing from 1st August 2026 and expiring on 30th June 2027 (Both days inclusive) or the contract may start early based on consent of both parties.

5. **Product Quality and performance conformity.**

Bidder shall furnish product quality conformity documentary evidence (quality approvals) along with bid offer.

6. **Price Escalation / De-Escalation Mechanism**

Please indicate Platt's oil gram market index to which your price will be linked, for the purpose of escalation / de-escalation mechanism. This will be indicated clearly in a sample invoice marked clearly as "Demo Invoice for Tender".

7. **Taxes / Fees and 3rd Party Charges**

Duties, Fees, Taxes, Levis, or Third party charges with complete details in USC/USG shall be quoted in the offer separately from differential (Index Price). Demo or Sample invoice in USC/USG may also be included in the offer indicating clearly all applicable charges as shall be invoiced during contract period marked clearly as "Demo Invoice for Tender".

8. **Fixed Differential (MARGIN)**

Fixed differential shall be quoted without any duty, tax, fee, or third party charge for the entire contract period and will remain fixed through the currency of contract which will be part of the contract price for a respective location. It shall be quoted in USC/USG and shall not be linked directly or indirectly to any other currency whatsoever & will be indicated clearly in a sample invoice marked clearly as "Demo Invoice for tender".

9. **Conversion Factor / EXCHANGE RATE**

Product Unit of Measure (UOM) conversion factors from: (a) LTR to USG, (b) MT to USG shall be clearly mentioned at the time of submission of bids. Source of exchange rate, currency exchange mechanism details for taxes / fees in currency other than USD shall be clearly mentioned and notifications of same shall be shared with PIA as per invoicing frequency.

10. **PAYMENT / Credit Terms**

Please indicate credit period and invoicing frequency clearly in your offer. Unless otherwise indicated credit period shall always be counted from date of invoice it is received.

11. **Currency of Payment**

USD or the applicable local currency at PIA's option; should PIA decide to opt the local currency payment or switch back the original payment currency, advance notice will be given to seller.

12. Bidder Eligibility

Bidder aviation Jet A1 fuel supply clientage experience to scheduled international commercial passenger airlines registered with International Air Transportation Association (IATA) at any international civilian airport. Complete detail must be enclosed with tender. Fuel handling agencies, 3rd parties, and other participant arranging supplies will provide documentary evidence to confirm that principal is IATA approved. PIACL reserves right to reject the bid of a supplier whose refueling service has not been satisfactory.

13. Tender document Amendment: PIACL prior to bid submission deadline may amend bidding documents, and/or extend deadlines in the tender documents by issuing, and publishing/uploading addendum/corrigendum on PPRA (Public Procurement Regulatory Authority) Pakistan, PIACL website links in the tender.

14. Bid price offers and discounts: Bid offer will be in one round only (Single stage one envelope procedure). The most advantageous bidder will be contracted for a given location.

15. Evaluation process integrity and confidentiality: Information relating to bids evaluation, comparative examination, and management reviews post-qualification & recommendation of contract award, shall not be disclosed to bidders or any other persons not officially concerned with such process before management approval and publication of the Contract Award. At any stage of evaluation process bidder shall provide clarification as required.

16. Bids evaluation criteria

The contract shall be awarded to the most advantageous bidder on each station taking into account the impact of following

- Platt's market quoted.
- Fixed differential (Margin)
- Fees & taxes; and

Opportunity cost / saving of funds in case of advance payment or credit period respectively shall be calculated by the formula:

(Avg. No. of days (Credit or Advance) X PIA annual cost of capital/funds X Into-plane Price).

365

Price Schedule: Filling this schedule by bidder is **mandatory**.

S.No	Locations	Index Price (USC/USG)	Differential (USC/USG)	Taxes/Fees (USC/USG)	Payment terms	Index Market
1	London (LHR/EGLL)					

17. Award of contract:

Contract shall be awarded to most advantageous bidder on the approval of tender evaluation by PIACL Fuel Purchase Committee (FPC).

18. TERMS OF OFFER:

After final award of contract no change in terms and conditions mentioned in original offer shall be accepted. In case of any contravention PIA reserves the right to accept or reject any bid offer or annulled the tender at any stage prior to contract award. This right shall be without prejudice to any remedy available under the terms of offer.

19. UNSCHEDULED and VVIP FLIGHTS:

PIA acts as agent on behalf of government of Pakistan for VVIP fueling. Further PIA also operates charter flights and sometimes flights are diverted due to operational reasons. If for any circumstance mentioned as above uplift is needed at the above mentioned locations said uplift shall also be deemed to be covered in your location offer & contract. Bidder may also offer Carnet Card based refueling terms and conditions, price discounts.

20. BID VALIDITY:

The bid shall remain valid for a period of ninety (90) days from the date of submission. The bidder agrees that its offer shall be binding and may not be withdrawn or modified during this period. PIACL reserves the right to request an extension of the bid validity period, which the bidder may accept or decline at its discretion.

21. Tender / agreement T & CS:

Terms of tender and agreement shall be in compliance with IATA Aviation Fuel Supply Model Agreement latest Version.

22. MARGINS & TERMS FINALIZED

Margin quoted and terms of payment/ condition will remain fix and cannot be changed during the tender term any change will lead immediate expiry of contract and permanent blacklisting from PIACL future tenders.

23. FINANCIAL CLAUSES

Bidders shall provide separately the Mark up clauses, financial security clauses

24. EXTENSION IN CONTRATUAL PERIOD

The awarded contract can be extended for another single year as per PPRA directives based on mutual consent of both parties.

Methodology for Assessing Most Advantageous Bid

The bidder with lowest financial offer will be considered as the Most Advantageous Bidder (LCB)

for Pakistan International Airlines

GM Contract Management Division

1st Floor, Supply Chain Management Department Building, [PIACL], Head Office

Karachi Airport-75200 Pakistan

Tel: +92-21-99045277

Email: gm.cm@piac.aero / contract.tech@piac.aero

Website: <http://www.piac.com.pk/>

SECTION 4: DRAFT CONTRACT AGREEMENT

Draft agreement will shared with successful bidder after issuance of LOI.

SECTION 5:**INTEGRITY PACT****INTEGRITY PACT / DISCLOSURE CLAUSE**

Must be printed on company Letter Head – [Submit with Financial Proposal] Declaration of Fees, Commissions and Brokerage Etc. Payable by the Suppliers, Vendors, Distributors, Manufacturers, Contractor & Service Providers of Goods, Services & Works. M/s. _____

the

Manufacturer / Authorized Distributor / Seller / Supplier / Contractor hereby declares its intention not to obtain the procurement of any Contract, right, interest, privilege or other obligation or benefit from Government of Pakistan or any administrative sub-division or agency thereof or any other entity owned or controlled by it [GoP] through any corrupt business practice. Without limiting the generality of the forgoing the Seller / Supplier / Contractor represents and warrants that it has fully declared the brokerage, commission, fees etc., paid or payable to anyone and not given or agreed to give and shall not give or agree to give to anyone within or outside Pakistan either directly or indirectly through any natural or juridical person, including its affiliate, agent, associate, broker, consultant, director, promoter, shareholder sponsor or subsidiary, any commission, gratification, bribe, finder's fee or kickback whether described as consultation fee or otherwise, with the object of obtaining or including the procurement of a contract, right, interest, privilege or other obligation or benefit in whatsoever form from Government of Pakistan, except that which has been expressly declared pursuant hereto. The Seller / Supplier / Contractor certifies that it has made and will make full disclosure of all agreements an arrangement with all persons in respect of or related to the transaction with Government of Pakistan and has not taken any action or will not take any action to circumvent the above declaration, representation or warranty. The Seller / Supplier / Contractor accepts full responsibility and strict liability for making any false declaration, not making full disclosure, misrepresenting facts or taking any action likely to defeat the purpose of this declaration, representation and warranty. It agrees that any contract, right, interest, privilege or other obligation or benefit obtained or procured as aforesaid shall without prejudice to any other right and remedies available to Government of Pakistan under any law, contract or other instrument, be void-able at the option of Government of Pakistan.

Notwithstanding any rights and remedies exercised by Government of Pakistan in this regard, the Seller / Supplier / Contractor agrees to indemnify Government of Pakistan for any loss or damage incurred by it on account of its corrupt business practices and further pay compensation to Government of Pakistan in any amount equivalent to ten time the sum of any commission, gratification, brief, finder's fee or kickback given by the Seller / Supplier / Contractor as aforesaid for the purpose of obtaining or inducing the procurement of any contract, right, interest, privilege or other obligation or benefit in whatsoever from Government of Pakistan.

SECTION 6: Bid Securing Declaration

Date: [insert date (as day, month and year)]

We, the undersigned, declare that: We understand that, according to your conditions, Bids must be supported by a Bid Securing Declaration.

We accept that we will be blacklisted and henceforth cross debarred for participating in respective category of public procurement proceedings for a period of (not more than) six months, if fail to abide with a bid securing declaration, however without indulging in corrupt and fraudulent practices, if we are in breach of our obligation(s) under the Bid conditions, because we:

1. have withdrawn or modified our Bid during the period of Bid Validity specified in the Form of Bid;
2. Disagreement to arithmetical correction made to the Bid price; or
3. having been notified of the acceptance of our Bid by the Procuring Agency during the period of Bid Validity, (i) failure to sign the contract if required by Procuring Agency to do so or (ii) fail or refuse to furnish the Performance Security or to comply with any other condition precedent to signing the contract specified in the Bidding Documents.

We understand this Bid Securing Declaration shall expire if we are not the successful